

SOFTWARE DEVELOPMENT AND IMPLEMENTATION AGREEMENT

1. PARTIES:

This Software Development and Implementation Agreement ("Agreement") is entered into as of October 26, 2024 ("Effective Date"), by and between:

- **Pinnacle Enterprises LLC**, a limited liability company organized under the laws of [Jurisdiction], with its principal place of business at 567 Summit Drive, Corporate Park, State, Country ("Client"), and
- **CodeCrafters Solutions Inc.**, a corporation organized under the laws of [Jurisdiction], with its principal place of business at 890 Code Street, Innovation Valley, State, Country ("Provider").

2. PREAMBLE:

Client requires the development and implementation of a custom enterprise resource planning (ERP) software solution to streamline its internal operations, improve data management, and enhance overall efficiency. Provider represents that it has the expertise and resources to design, develop, test, and deploy the requested software solution.

3. SCOPE OF SERVICES:

3.1. **Project Name:** "Project Zenith"

3.2. **Contract Start Date:** October 26, 2024 (Effective Date)

3.3. **Contract End Date:** October 26, 2026 (Expected completion date)

3.4. **Total Contract Value:** \$3,500,000.00 (USD)

3.5. **Contract Description:** Provider will develop and implement a tailored ERP software solution for Client, including modules for finance, inventory, human resources, and customer relationship management. The project will include requirements gathering, software design, development, testing, deployment, and post-implementation support.

4. DETAILED TERMS AND CONDITIONS:

4.1. **Key Parties:** * Client: Mr. Arthur King (Chief Operating Officer), Ms. Brenda Lee (IT Director) * Provider: Mr. Charles Davis (Chief Technology Officer), Ms. Diana Evans (Project Manager)

4.2. **Enforceable Rights and Obligations:** This Agreement creates legally binding rights and obligations for both parties. Provider is obligated to deliver the software solution as specified, and Client is obligated to make timely payments.

4.3. **Contract Duration:** 24 months.

4.4. **Renewable POs:** No.

4.5. Multiple Contracts: No other contracts exist between these parties at this time.

4.6. Clear Terms: Yes, this document contains clear terms including deliverables, payment, and support.

4.7. Distinct Services: * Requirements Analysis and Design * Software Development * Testing and Quality Assurance * Deployment and Training * Post-Implementation Support

4.8. Potentially Distinct Services: Yes, each service is potentially distinct.

4.9. Distinct Performance Obligations: Yes, each service is a distinct performance obligation.

4.10. Contract Modifications, Options, Variable Considerations: A 2% early completion bonus is offered if the project is completed 3 months ahead of schedule.

4.11. Total Transaction Price: \$3,500,000.00 (USD) plus potential 2% bonus.

4.12. Compensation Structure: Fixed-fee, milestone-based payments.

4.13. Variable Consideration: Yes, the early completion bonus.

4.14. Significant Financing Components: No.

4.15. Other Costs: Provider will incur costs for software licenses, hardware, and cloud services.

4.16. Reimbursable Expenses: Travel and lodging for on-site visits with prior approval.

4.17. Non-Recoverable Costs: Potential costs from changes in regulatory requirements.

4.18. Transaction Price Allocation: * Requirements Analysis: 10% * Software Development: 50% * Testing: 15% * Deployment and Training: 15% * Support: 10%

4.19. Standalone Selling Prices: Available for development and testing. Others are bundled.

4.20. Discount/Variable Consideration Allocation: To overall project completion.

4.21. Milestones/KPIs: * Milestone 1: Requirements approval (Month 3) * Milestone 2: Core module development (Month 12) * Milestone 3: System testing completion (Month 18) * Milestone 4: Go-live and user training (Month 24) * KPI: 99% system uptime after go-live.

4.22. Payment Terms: 20% upon contract signing, 25% upon Milestone 2, 30% upon Milestone 3, and 25% upon Milestone 4.

- 4.23. **Revenue Recognition:** Over time, percentage of completion.
- 4.24. **Progress Measurement:** Milestone achievement, effort incurred.
- 4.25. **Key Financial Obligations:** Client's payment, Provider's delivery.
- 4.26. **IFRS 15 Judgments/Estimates:** Estimates for percentage of completion.
- 4.27. **IFRS 15 Disclosures:** Disclosures in financial statements.
- 4.28. **Contract Reviewer:** Ms. Elizabeth Ford (Legal Counsel).
- 4.29. **Contract Approver:** Mr. Arthur King and Mr. Charles Davis.
- 4.30. **Supporting Documents:** Project Scope Document, Software Requirements Specification, Payment Schedule.

5. INTELLECTUAL PROPERTY:

Client owns all custom developed software.

6. CONFIDENTIALITY:

Both parties maintain confidentiality.

7. TERMINATION:

60 days written notice for material breach.

8. GOVERNING LAW:

Laws of [State/Country].

9. FORCE MAJEURE:

Provider not liable for uncontrollable events.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the Effective Date.

Pinnacle Enterprises LLC